

The premier market anomaly is momentum. Stocks with low returns over the past year tend to have low returns for the next few months, and stocks with high past returns tend to have high future returns.⁸

Readers can easily satisfy themselves as to the efficacy of momentum by reviewing some of the important academic research papers referenced in this book. You can download many of them from the Social Science Research Network (SSRN) website or by doing an Internet search on their titles or authors' names.⁹ You can also find additional information on my website and associated blog: <http://optimalmomentum.com>.

CURRENT APPLIED MOMENTUM

Dorsey, Wright & Associates (DWA) introduced the first publicly available systematic momentum-based program in 2007. DWA manages two mutual funds and four broad-based exchange-traded funds using a proprietary approach that selects 100 (200 for small cap) individual stocks using relative strength momentum. Its broad-based funds cover U.S. large-cap/mid-cap, U.S. small-cap, developed market, and emerging market stocks. DWA reassesses and rebalances its momentum-based portfolios quarterly.

In 2009, AQR Capital Management (AQR) established three momentum-based mutual funds covering U.S. large-cap/mid-cap, U.S. small-cap, and international stocks. AQR's funds select the top one-third of stocks using momentum measured over a 12-month look-back period, excluding the last month. AQR usually rebalances positions quarterly. In [Chapter 9](#), I show how AQR's U.S. large-cap/mid-cap relative momentum index has performed since its inception.

BlackRock's iShares is the latest firm to offer a popular, publicly available momentum product. In 2013, iShares introduced an exchange-traded fund (ETF) based on the Morgan Stanley Capital International (MSCI) USA Momentum Index that holds 100 to 150 stocks using a combination of 6- and 12-month look-back periods. The fund weights its positions based on volatility and rebalances them semiannually.